

3 financial rules for entrepreneurs.

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Executive Summary

Tim Luong outlines 3 financial rules every entrepreneur must follow: keep 6 months of runway, reduce personal burn rate, and build disciplined habits now — because downturns are inevitable and success blinds you to risk.

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💰 Rule 1: Keep 6 Months of Runway 0:00

- Always maintain at least **6 months of runway** in your business at all times
 - "You never know when the rainy day happens"
 - When hard times arrive, they arrive hard — "when it rains, it pours"

🔥 Rule 2: Keep Your Personal Burn Rate Low 0:11

- Your personal spending becomes a direct liability when the business struggles
 - Business, like every area of life, has seasons — good and bad cycles are unavoidable
 - A high personal burn rate amplifies the pain during a down season
- Core instruction: **learn to live with less**, even when revenue is strong

🧠 Rule 3: Build Good Habits While Times Are Good 0:22

- The habits you build during good times are the ones that carry you through bad times
 - Particularly directed at young entrepreneurs who are newly making money online and haven't yet experienced a down season
 - "With every good time will come a bad time eventually"
- The real danger isn't that bad things happen — it's that success makes you blind to risk
 - When you're winning, your brain convinces you that you are unstoppable
 - That confidence is precisely when you are **most exposed**

"When you're winning, you can't see these things. Your brain convinces you that you are unstoppable. And that is exactly when you are most exposed."

- The call to action: if you're doing well right now, use this moment to build the right habits
 - Don't wait until you need them
 - Don't wait until it's too late